CHAPTER 6 · INTERMEDIATE LEVEL

Fundamental Analysis I

Reading the Financials

Explained so simply a 10-year-old gets it

The three "report cards" every company keeps — and how to tell a truly healthy business from one that only looks shiny. Featuring Riya's Lemonade Stand.

Stock Market Mastery Roadmap • Intermediate Level

Welcome to the **Intermediate Level!** Now we learn to **read a company's report cards** — the numbers that show if a business is truly healthy or just *looks* shiny. We'll use one simple example the whole way: **Riya's Lemonade Stand.** 🍋

📋 The three report cards (and how they link)

Every company keeps **three financial statements**. Think of them as three different health checks:

Statement	What it shows	Like...
Income Statement (P&L)	Did it **earn or lose** money over a period?	a school **report card** for the term
Balance Sheet	What it **owns and owes** on one single day.	a **photo** of your piggy bank + debts
Cash Flow Statement	The **real money** that moved in and out.	a bank **passbook**

> **HOW THEY LINK TOGETHER**
> They're a team. The **profit** from the P&L gets added to the owner's share on the **Balance Sheet**, while the **Cash Flow** explains where the actual money went. One story, told three ways — if they don't agree, something is off.

🍋 Report card #1: the Income Statement (P&L)

This shows what happened *over a period* (say, a year). Walking down it, top to bottom:

- **Revenue** — all the money Riya made selling lemonade (the **top line**).
- **COGS** (Cost of Goods Sold) — what the **lemons, sugar & cups** cost.
- **Gross margin** — what's left after COGS, as a % — the basic "is each cup profitable?"
- **Operating margin** — after *also* paying for the stall, banner & helper — the "is the *business* profitable?"
- **Net margin** — the final **take-home** after everything, including tax.
- **EBITDA** — earnings before some accounting bits — a rough "engine power" number.
- **EPS** (Earnings Per Share) — the **profit split per slice** of ownership (per share).

> **MARGINS IN ONE LINE**
> A **margin** is just "out of every ₹100 of sales, how much do you *keep*?" **Gross → Operating → Net** each keep less, because each step subtracts more costs. Watch whether margins are **growing or shrinking** over years.

📸 Report card #2: the Balance Sheet

A **snapshot on one day** of what the company owns and owes. It always balances, because of one simple rule:

> **THE BALANCE RULE**
> **Assets = Liabilities + Equity.** In plain words: **what you OWN = what you OWE + what is truly YOURS.** If Riya's stand and cash are worth ₹10,000 and she borrowed ₹3,000, then ₹7,000 is really hers.

- **Assets** 🧳 — things the company **owns** (cash, stock, machines, money owed *to* it).
- **Liabilities** 📄 — things it **owes** (loans, bills to pay).
- **Equity** 👑 — what's **truly the owners'** after debts.
- **Working capital** 🔄 — short-term money to run day-to-day (cash to buy tomorrow's lemons).
- **Debt vs cash** ⚖️ — a company drowning in loans is riskier than one sitting on cash.

📒 Report card #3: the Cash Flow Statement

The **passbook** — real money in and out, split into three taps:

Tap	Money from...	Riya example
CFO (Operating)	the actual **business** running	cash from *selling lemonade*
CFI (Investing)	buying/selling **long-term stuff**	buying a new juicer
CFF (Financing)	borrowing, repaying, paying **dividends**	taking a loan from Dad

THE MOST HONEST NUMBER: FREE CASH FLOW (FCF)

FCF = the cash left **after** keeping the business running and its machines maintained. It's the money a company can *truly* use to reward owners or grow. Lots of "profit" but little FCF? Be suspicious.

📖 Reading the annual report (the story behind the numbers)

- **MD&A** (Management Discussion & Analysis) — the bosses **explain the year** in words.
- **Notes to accounts** — the **fine print** where important details hide.
- **Auditor remarks** — an outside checker's **opinion** on whether the numbers are trustworthy.
- **Related-party transactions** — deals with the owner's **own friends/family** — watch these closely.

🚩 Quality-of-earnings red flags

Sometimes profit *looks* great but the truth is shaky. Warning signs:

- 📈📉 **Profit rising but cash (CFO) falling** — earning "on paper" but not collecting real money.
- 🧾 **Ballooning receivables** — piles of **IOUs from customers** who haven't actually paid.
- ❗ **Frequent "exceptional items"** — "one-time" surprises that show up *every* year aren't really one-time.

💡 Key ideas to remember

- **Profit is an opinion; cash is a fact.** 💵 Profit uses judgement calls (accrual accounting); cash either moved or it didn't. **FCF is where the truth hides.**
- **CFO should track net profit over time.** If profit keeps rising but operating cash keeps lagging, that **persistent gap is a warning**.
- **Capital-light vs capital-heavy.** A lemonade app needs little gear (capital-light → higher returns); a steel factory needs huge machines (capital-heavy → lower, slower returns). Know which you're holding.

PRACTICAL EXERCISES

- 📊 **Take one company.** Pull **5 years** of P&L, balance sheet, and cash flow (Screener.in or the annual report) and lay them **side by side**.
- 📈 **Compute** revenue **CAGR** (growth rate), the **margin trend**, and whether **CFO grew along with profit**.
- 🚩 **Find one company** where profit rose but operating cash flow fell — write down **why that's a red flag**.

REAL-WORLD APPLICATION

- 📄 This is the **exact lens for IPO evaluation** and long-term investing. Since you already do IPO analysis, treat the **RHP financials** with the **same rigour a professional fund analyst would** — read the cash flows, not just the profit headline.

ONE-LINE SUMMARY

Three report cards tell one story: the **P&L** (did it earn?), the **Balance Sheet** (what it owns vs owes), and the **Cash Flow** (real money moving). Remember **Assets = Liabilities + Equity**, trust **cash over profit**, hunt for **red flags** (profit up, cash down), and judge **FCF** — that's where the truth lives.